

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the
Interstate Transmission System

Docket No. RM26-4-000

JOINT REPLY COMMENTS OF THE DISTRIBUTED CAPACITY PARTIES

CPOWER, SPARKFUND, AND VOLTUS

The above-captioned Advanced Notice of Proposed Rulemaking (“Large Load Interconnection ANOPR”) has generated intense stakeholder interest; on or about November 21, 2025, 184 parties or coalitions submitted opening comments. The joint initial comments of Cloverleaf Infrastructure, Spark Community Investment Company d/b/a Sparkfund (“Sparkfund”),¹ and Voltus, Inc., (“Voltus”)² highlighted the capabilities of demand-side and advanced technologies to support the rapid interconnection of large loads, even when these resources are located “off-site” or “outside the fence.” Similarly, the Joint Flexibility Parties (Enerwise Global Technologies, LLC d/b/a CPower (“CPower”),³ Enel North America, Inc., and

¹ Sparkfund is a deployment services company that helps utilities take DERs from grid edge to grid core through its Distributed Capacity Procurement (DCP) model, which enables utilities to plan, deploy, and dispatch DERs at the scale and pace necessary to meet load growth demand and unlock the full value of the grid.

² Voltus is a leading distributed energy resource (“DER”) aggregator that provides a platform to enable consumers to connect their distributed energy resources including demand response to energy markets. Voltus identifies distributed energy resources, develops the aggregations, bids into wholesale markets, dispatches DERs, and performs the settling and reporting. Voltus operates aggregations of DERs on behalf of consumers in every ISO/RTO market in the United States.

³ CPower is a national demand-side energy management provider that helps organizations use distributed energy resources, including demand response, to support grid needs and unlock economic value. In this role, CPower

Voltus) suggested “that large loads . . . *that enter into arrangements with another appropriately located load aggregation to provide . . . curtailment* be considered when exploring expedited interconnection processes that respect existing queue positions.”⁴

Given the breadth of stakeholder commentary and the accelerated timeline of this proceeding, CPower, Sparkfund, and Voltus (hereinafter, the “Distributed Capacity Parties”) now respectfully submit these brief reply comments to summarize and underscore the broad industry support, as expressed in the initial comment round, for a comprehensive, technology-neutral definition of large load flexibility to support expedited interconnection under ANOPR Principle Seven.

***INDUSTRY AND THOUGHT LEADERS SUPPORT EXPEDITED INTERCONNECTION
FOR LOADS PAIRING WITH ADJACENT FLEXIBILITY***

As the Distributed Capacity Parties noted in initial comments, the ANOPR explicitly and laudably recognizes the value of load flexibility and “hybrid” facility dispatchability in Principle Seven, suggesting loads bringing these attributes should be prioritized for interconnection. The Distributed Capacity Parties wrote that the new capacity need not be physically located at the same facility, but “can be distributed across the geographic area within which the new load will impact system constraints, provided that the system operator has the requisite level of control to integrate the facility into operations and system planning.”⁵

A variety of parties agree. In the context of new generation brought by specific large loads, **Exelon** notes that “[s]uch resources may share a point of interconnection *or be in close (electrical) proximity to one another* . . . and may warrant accelerated treatment to connect to the

aggregates flexible loads, offers these loads in utility programs and wholesale markets, and manages the dispatch, performance, and settlement of these resources. CPower operates in ISO/RTO markets across the United States.

⁴ Joint Comments of the Load Flexibility Parties at 4.

⁵ Comments of Distributed Capacity Parties at 6-7.

grid” (emphasis added).⁶ Similarly, the **Joint Consumer Advocates** urge that large loads should “offset their load through the addition of timely, *local*, and adequate capacity resources” (emphasis added),⁷ supporting that capacity that is added locally, geographically consistent with the constraints it is meant to ease, need not be within the fence line of the load site.

Rewiring America writes,

FERC should expand its expedited interconnection considerations beyond large load curtailability and co-located generation dispatchability to include appropriately located off-site distributed energy resources that can deliver curtailment or dispatch services under contract. These contracted resources should be evaluated as part of the interconnection package when they provide generation and/or transmission relief that offsets the impacts of the large load request. In this context, what matters is equivalent, verifiable performance in mitigating constraints within the same constrained transmission pocket or local grid area, not whether the asset is physically inside or outside the facility fence line.⁸

Rewiring America expands the analysis to ANOPR Principle Three:

[L]imiting combined studies only to physically co-located resources unnecessarily constrains the toolbox available to large load customers. Off-site distributed energy resources (“DERs”) can deliver the same types of energy services—generation, load reduction, or transmission relief—that on-site assets provide. Large loads should therefore be allowed to incorporate aggregated front-of-the-meter and behind-the-meter DERs into their interconnection applications to the extent those resources can offset the transmission or generation upgrades triggered by the request. For example, an aggregation of residential batteries capable of providing import or export services, or a portfolio of high-efficiency heat pump upgrades that deliver durable peak reductions, can effectively mitigate network loading associated with large load interconnections. A long-term commitment to secure and maintain such contributions should be treated comparably to co-located generation for modeling purposes.⁹

Storage developer **Eolian**, an active participant and thought-leader in the recently concluded Large Load Addition Critical Issue Fast Path process at PJM Interconnection LLC (“PJM”), also supports the combined study of “load and *proximate* generation” (emphasis

⁶ Comments of Exelon Corporation at 14.

⁷ Comments of the Pennsylvania Office of Consumer Advocate and Delaware Division of the Public Advocate at 2.

⁸ Comments of Rewiring America at 2-3.

⁹ *Id.* at 2.

added), “including generation developed *near* publicly-announced load developments” (emphasis added).¹⁰ **Base Power**, an expert in home backup systems, is more explicit:

Base Power encourages the Commission to recognize that resource adequacy is not unilaterally bound by the physical location of the asset providing it. Resources capable of modulating their consumption or injection of power in response to system needs on demand, whether located at the load site or elsewhere on the system, offer functionally identical value to reliability and grid stability where modeled and verified in the course of typical, day-to-day grid operating conditions. The defining feature of resource adequacy is dispatchability, not geography. A resource that can increase or decrease its output or load in response to an operator signal provides the same system benefit whether it is co-located with the facility it serves or operates under a contractual arrangement elsewhere. Therefore, constraining generation in service of supporting new load interconnection dispatchability to a narrow class of assets would unnecessarily exclude a significant portion of capacity already supporting grid operation.¹¹

As these comments by innovative energy storage companies demonstrate, unlocking the full potential capacity that can be provided by advanced technology developers requires recognizing that appropriately located off-site resources provide network benefits on par with those provided by on-site resources, and should be studied and interconnected with equivalent priority.

Emerald AI, a leading enabler of “on-site” flexibility of AI data center compute, nonetheless includes adjacent or offsite flexibility in its four-category classification of data center flexibility.¹² **Emerald AI** notes the final category can “complement and augment the total flexibility a facility can offer. Such adjacent flexibility refers to the ability to coordinate with nearby or aggregated resources (e.g., a local VPP) via a software interface, so that the net effect reduces withdrawals on constrained parts of the grid.”¹³

¹⁰ Comments of Eolian L.P. on the Advance Notice of Proposed Rulemaking at 18.

¹¹ Initial Comments of Base Power Company, Inc. at 5-6.

¹² The four categories comprise temporal, spatial, resource, and adjacent or offsite flexibility. Comments of Emerald AI at 3-4.

¹³ *Id.* at 4. *See also* Comments of the Advanced Energy Management Alliance (“AEMA”) at 5 (echoing the same definition of adjacent flexibility and emphasizing the value it provides).

Tesla highlights the value of distributed capacity, “urg[ing] the recognition of DERs and VPPs as meaningful grid service tools that can support faster interconnection of large loads to the transmission system. VPPs should be considered for their potential to alleviate transmission network constraints and capacity needs associated with the interconnection of large loads.”¹⁴ DERs and VPPs are by definition not, at least in entirety, physically located on the site of new large loads seeking interconnection; **Tesla’s** position emphasizes the need for the expansive and comprehensive consideration of new off-site capacity whose network locations ease relevant grid constraints, with the instant proceeding offering an unprecedented opportunity to “unlock a new and massive category of untapped capacity to solve the growing pressure on the transmission system.”¹⁵

With respect to curtailment resources specifically, the **Joint Flexibility Parties** add another dimension to the discussion, noting that “[n]ot all large loads will have the appetite to be curtailable, but all large loads will almost certainly be interested in having access to an expedited interconnection process. If another load or loads that are sited within the same stressed grid area can provide the necessary flexibility, then the large load should be considered for an expedited interconnection upon showing that it has entered into arrangements for such flexibility.”¹⁶

The preceding excerpts highlight only a subset of the numerous stakeholder comments that point to appropriately located off-site capacity as critical to the solution set and supportive of expedited large load interconnection through contractual relationships. **Advanced Energy United (“AEU”)** offers an appropriate summary of the general industry position on the value of such adjacent flexibility:

¹⁴ Comments from Tesla on the Proposed Advanced Notice of Proposed Rulemaking at 4.

¹⁵ *Id.*

¹⁶ Joint Comments of the Load Flexibility Parties at 4.

[Capacity] solutions need not originate at the site of a new large load but could be incremental flexibility that is contracted by that large load and that is located such that it counteracts the impacts of the new large load. That may require all or some of the flexibility to be at or near the site of the new large load, but some or all of it may be sufficiently proximate if it is within the same delivery zone or even wholesale market region. Because demand-side resources are not subject to a generation interconnection process, they can be contractually tied to the new large load while avoiding the undue discrimination concerns discussed with respect to Principle Three.¹⁷

Recent research provides additional support for the value provided by adjacent and nearby capacity resources to expedite large load interconnection. **Enchanted Rock’s** comments reference a recent Duke Institute paper’s call for the clarification of “study timelines, queue priority, and interconnection process for large load customers, as well as load-supply hybrid facilities and pairings.”¹⁸ As the paper supports, such pairings can include contracted adjacent supply: “[c]ollocated or adjacent supply may be owned and operated by the large load customer or contracted for with a third party.”¹⁹ Providing concrete quantitative evidence of the value of nearby capacity, a detailed and fresh-off-the-press Google-sponsored research paper—published yesterday and conducted by Camus, encoord, and Princeton ZERO Lab²⁰—finds that data centers can connect three to five years faster through a combination of solutions that includes off-site accredited “bring-your-own-capacity” (“BYOC”).²¹ For a 500 MW data center, the study

¹⁷ Comments of Advanced Energy United at 22-23.

¹⁸ Comments of Enchanted Rock, LLC at 4 n.9 (citing Miles Farmer, et al., *How DOE’s Proposed Large Load Interconnection Process Could Unlock the Benefits of Load Flexibility – Considerations for Rulemaking*, Duke – Nicholas Institute for Energy, Environment & Sustainability, p.3 (2025), available at <https://nicholasinstitute.duke.edu/sites/default/files/publications/how-does-proposed-large-load-interconnection-Process-could-unlock-benefits-load-flexibility.pdf>).

¹⁹ Miles Farmer, et al., *How DOE’s Proposed Large Load Interconnection Process Could Unlock the Benefits of Load Flexibility – Considerations for Rulemaking*, Duke – Nicholas Institute for Energy, Environment & Sustainability, p.2 n.2 (2025), available at <https://nicholasinstitute.duke.edu/sites/default/files/publications/how-does-proposed-large-load-interconnection-Process-could-unlock-benefits-load-flexibility.pdf>

²⁰ This critical paper represents the “first publicly available study to combine real utility transmission system data, system-level capacity expansion modeling, and site-level capacity optimization to evaluate how flexibility can accelerate data center interconnections.” Carlo Brancucci, Dylan Cutler, and Jesse Jenkins, *Flexible Data Centers: A Faster, More Affordable Path to Power*, Camus, encoord, and Princeton ZERO Lab, p.4 (Dec. 2025), available at https://cdn.prod.website-files.com/60dbdcca2e4b1919e8894fa5/6930abf1be0f36db6fc27157_Whitepaper%20-%20With%20Appendix.pdf.

²¹ *Id.* at 5.

estimates 158 MW of off-site supply could be procured.²² Critically, the study finds that distributed solutions significantly mitigate system costs borne by consumers, placing downward pressure on rates in a load growth environment: “BYOC internalizes \$326 million in capacity costs per GW, with the data center procuring accredited resources directly and offering them into the market to increase supply.”²³

CONCLUSION

This ANOPR proceeding demonstrates broad industry and nationwide support to accelerate the ability of our electric grid to integrate the large loads that will secure America’s AI dominance. To enlist all available resources in this mission, the Distributed Capacity Parties ask FERC to develop rules that allow off-site resources that are capable of addressing constraints to be considered in joint interconnection studies and the expediting of large load interconnection pursuant to ANOPR Principles Three, Five, and Seven. Such an outcome is consistent with the emerging industry consensus, as detailed above.

Respectfully submitted,

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²² *Id.* at 21.

²³ *Id.* at 6.

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